The input materials are called goods of intermediate consumption. They are used to produce either consumer goods or fixed assets and valuables. Semi-finished goods are goods in the process of production of consumer goods or fixed assets and valuables.

Take an example of shoe manufacturing industry. The raw leather is input materials. The processed leather are semi-finished goods and the shoes are finished goods. Assume that the same shoe factory is expanding its capacity and the construction is going on. The building in progress is a semi-finished fixed asset.

The input materials and semi-finished materials neither can be consumed nor used as fixed assets or stored as valuables. Likewise the unsold finished goods also neither can be consumed nor used as fixed assets or stored as valuables. To put it simply the products till they reach market as final goods and services are called inventories. But the expenditure on such products is incurred by producers of goods and services. Hence they are accounted in the expenditure method.

The inventories once they become final products on sale to consumer as consumable products or valuables or to producer as fixed assets are accounted as either as PFCE or as GCF in the subsequent years. Likewise in the subsequent years new inventories are added.

The inventories are measured on net basis. The inventories on the first day of the accounting period are deducted from the inventories on the last day of the accounting period. It is called **change in stock.** The inventory existing on the first day is deducted from the inventory on the last day of accounting period because inventory on the first day was already accounted in the previous year. It ensures only the current period inventory alone is accounted for the current period. In India the accounting period is April to March. The following example makes it clear.

Inventories on 1.04.2015 ₹100 Crore
Inventories on 31.03.2016 ₹150 Crore
Change in inventory is ₹ 50 Crore